

Lecture 1

Introduction and National Accounts

Economics B — Macroeconomics I

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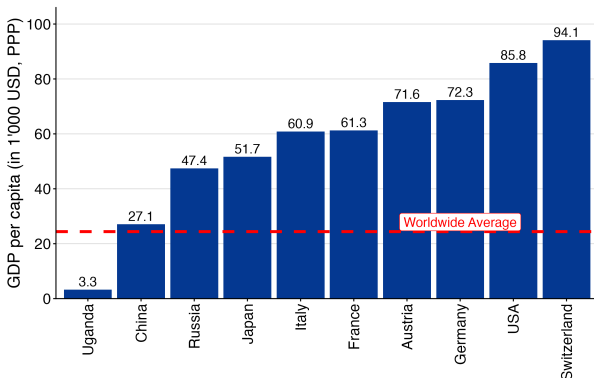
Summary

Welcome to the lecture “Economics B - Macroeconomics I”

- ▶ Economics studies the allocation of scarce resources.
While microeconomics examines this allocation on an *individual* level (persons, firms), macroeconomics discusses this on an *aggregated* level.
- ▶ Learning objectives in this course:
 - ▶ Introductory understanding of macroeconomics
 - ▶ Economic models: benefits, applications, and limitations
 - ▶ Analysis and contextualization of current economic policy problems

Main goal of the course “Economics B - Macroeconomics I”

- ▶ Ability to analyze current macroeconomic topics in a structured manner.
- ▶ Use and critically examine suitable model frameworks.
- ▶ Example: How to interpret these numbers?



Data for 2024. Source: World Bank, NY.GDP.PCAP.PP.CD

Administrative and Organizational — Teaching material

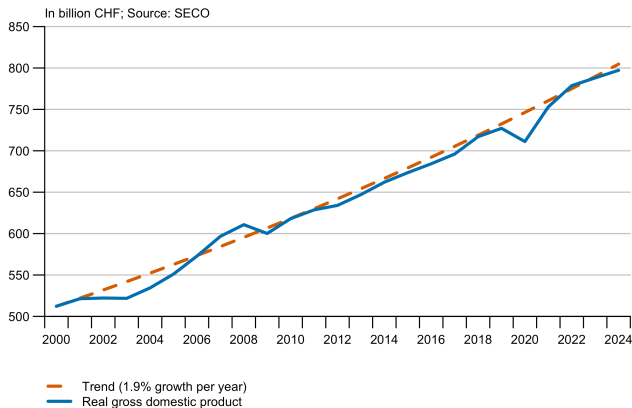
- ▶ Book on the course: 'Macroeconomics' by Olivier Blanchard, 7th, 8th or 9th edition, Pearson.
- ▶ The textbook adds to the lectures, but is no substitute.
- ▶ The listed chapters are compulsory literature, even if not all parts are discussed in the lecture.
- ▶ The contents of the introduction to 'Economics A' (Microeconomics I) are assumed. All texts of the lecture, tutorials and self-study are obligatory and part of the examination.

Administrative and Organizational — Course structure

- ▶ The course is divided into three parts
 - ▶ Lecture: 12 lectures of 90 minutes
 - ▶ Tutorials: 8 sessions of 90 minutes each
 - ▶ Self-study: 3 units
- ▶ There will be a *mock exam* in the middle of the semester.
- ▶ Thematic structure of the course:
 - ▶ short term — medium term — long term
 - ▶ demand-side perspective → supply-side perspective

Main goal: Long-term trend and short-term fluctuations

- What explains the short-term fluctuations, the return to the trend line, and the long-term path of GDP?



Administrative and Organizational — Course structure

Lecture	Date	Weekday	Time	Room
1 - Introduction, GDP	February 16, 2026	Monday	12:15 pm - 02:00 pm	09-010
2 - The Goods Market	February 23, 2026	Monday	12:15 pm - 02:00 pm	09-010
3 - Financial Markets	March 02, 2026	Monday	12:15 pm - 02:00 pm	09-010
4 - IS-LM Model	March 09, 2026	Monday	12:15 pm - 02:00 pm	09-010
5 - The Labor Market	March 16, 2026	Monday	12:15 pm - 02:00 pm	09-010
6 - Inflation	March 23, 2026	Monday	12:15 pm - 02:00 pm	09-010
7 - IS-LM-PC Model	April 13, 2026	Monday	12:15 pm - 02:00 pm	09-010
8 - Openness in Goods and Financial Markets	April 20, 2026	Monday	12:15 pm - 02:00 pm	09-010
9 - The Goods Market in an Open Economy	April 27, 2026	Monday	12:15 pm - 02:00 pm	09-010
10 - Growth	May 04, 2026	Monday	12:15 pm - 02:00 pm	09-010
11 - Innovation	May 11, 2026	Monday	12:15 pm - 02:00 pm	09-010
12 - Q&A	May 18, 2026	Monday	12:15 pm - 02:00 pm	09-010

Administrative and Organizational — Lectures (1/3)

- ▶ Lecture 1: Introduction and National Accounts
 - ▶ What is macroeconomics, GDP
- ▶ Lecture 2: The Goods Market
 - ▶ GDP in the short term, business cycles
 - ▶ Aggregate demand: consumption, investment, government spending
- ▶ Lecture 3: The Financial Market I
 - ▶ Functions of money, money demand and supply
 - ▶ Monetary policy
- ▶ Lecture 4: The IS-LM Model
 - ▶ Economy in the short term
 - ▶ Fiscal and monetary policy

Administrative and Organizational — Lectures (2/3)

- ▶ Lecture 5: The Labor Market
 - ▶ Labor supply and demand, unemployment
- ▶ Lecture 6: Inflation
 - ▶ Phillips curve
 - ▶ Quantity equation
 - ▶ Real interest rates, risk premium
- ▶ Lecture 7: Economy in the Medium Run
 - ▶ IS-LM-PC model
 - ▶ Fiscal and monetary policy in the medium term
- ▶ Lecture 8: Open Economy
 - ▶ International trade, trade policy
 - ▶ Exchange rates

Administrative and Organizational — Lectures (3/3)

- ▶ Lecture 9: Economic Policy in the Open Economy
 - ▶ Purchasing power parity, interest parity
 - ▶ IS-LM model in the open economy
- ▶ Lecture 10: Long-term growth
 - ▶ Determinants of long-term GDP growth
 - ▶ Solow model
- ▶ Lecture 11: Innovation and institutions
 - ▶ Extensions of the Solow model, human capital
 - ▶ Institutions, innovation vs. imitation, developing countries
- ▶ Lecture 12: Summary
 - ▶ Current macroeconomic topics
 - ▶ Discussion, Q&A

Administrative and Organizational — Self study

- ▶ National accounts and price indices:
 - ▶ Blanchard: Chapter 2, esp. the appendix & appendix A (p. A1-A6).
- ▶ Financial Markets II:
 - ▶ Blanchard: Chapter 6
- ▶ Balance of Payments:
 - ▶ Blanchard: Chapter 17.2
- ▶ —→ There will be problem sets associated with these topics discussed in the tutorials.

Administrative and Organizational — Tutorials

Lecture 1 Introduction and National Accounts

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Summary

Course Overview Economics B						
CW	Lecture			Tutorial		
	Date	Content	Literature TB	Date	Content	Literature TB
8	1	Introduction and National accounts	Chapter 1 Chapter 2			
9	2	The Goods Market	Chapter 3, 5.1 Chapter 14.1, 14.2	1	Introduction and National accounts	Chapter 1 Chapter 2
10	3	Financial Markets	Chapter 4 Chapter 5.2			
11	4	The IS-LM Model	Chapter 5 Chapter 6	2	The Goods Market Financial Markets	Chapter 3, 5.1, 14.1, 14.2 Chapter 4, 5.2
12	5	The Labor Market	Chapter 7			
13	6	Inflation	Chapter 8	3	The IS-LM Model	Chapter 5 Chapter 6
14 15	BREAK					
16	7	The IS-LM-PC Model	Chapter 9			
17	8	The Goods Market in an Open Economy	Chapter 17	4	The Labor Market Inflation	Chapter 7 Chapter 8
18	9	International Macroeconomics	Chapter 18.1 Chapter 19.2	5	The IS-LM-PC Model	Chapter 9
19	10	Growth	Chapter 10, 11 Chapter 19.5, 20.2, 20.4	6	The Goods Market in an Open Economy International Macroeconomics	Chapter 17 Chapter 18.1, 19.2
20	11	Innovation	Chapter 12	7	Growth Innovation	Chapter 10, 11, 12 Chapter 19.5, 20.2, 20.4
21	12	Q&A		8	Q&A, discussion of exam (2025)	
CV = calendar week TB = Textbook, Blanchard: Macroeconomics						

Administrative and Organizational — Resources & Contact

- ▶ Documents are published on *Canvas*.
 - ▶ All students have access to the course room.
- ▶ Questions regarding content: Forum on *Canvas*
- ▶ Tutor as contact person in the tutorials.

Administrative and Organizational — Contact

- ▶ Prof. Dr. Reto Föllmi
SIAW-HSG
Rosenbergstrasse 22
reto.foellmi@unisg.ch
- ▶ Dr. Magnus Hoffmann
IWE-HSG
Girtannerstrasse 6, CH-9010 St. Gallen
magnus.hoffmann@unisg.ch
- ▶ Consultation hours by arrangement (by e-mail)

Useful Resources

- ▶ Daily reading of a good newspaper (e.g., *Financial Times*, *WSJ*)
 - ▶ Large collection in the SQUARE and HSG library.
 - ▶ Free access to articles for HSG members via FACTIVA
- ▶ Weekly magazines (e.g., *The Economist*)
 - ▶ Free online access through the HSG library
- ▶ Websites:
 - ▶ Blogs: VoxEU, Project Syndicate, etc.
 - ▶ Data: Federal Statistical Office, World Bank, OECD, IMF, etc.
 - ▶ New studies: NBER, CEPR, CESifo

From Micro to Macro: The Linking of Markets

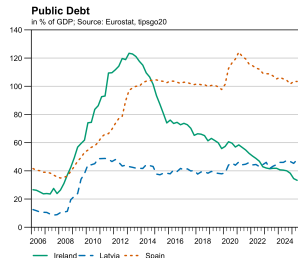
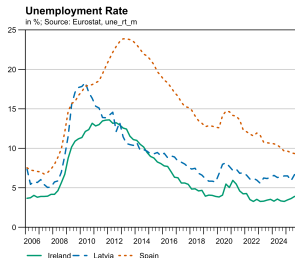
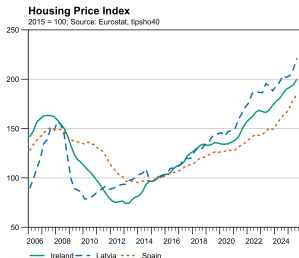
- ▶ Economics is the study of dealing with scarce resources.
It distinguishes three levels of investigation:
 - ▶ Individual economic level:
Behavior of individual economic entities; above all households (maximization of utility) and companies (maximization of profits)
 - ▶ Level of interaction (markets):
Relations and cooperation between economic entities
 - ▶ Macroeconomic level:
Overall result of individual economic actions and environment in which individual economic decisions are made
- ▶ Modern macroeconomics is microeconomically sound,
i.e., it is based on decisions of individual households and enterprises.

From Micro to Macro: Linking Markets — Examples

- ▶ Example 1: Immigration to Switzerland and its effects on wages
 - ▶ Simple model with labor supply and demand:
Additional labor supply → lower wages
 - ▶ Advanced model:
Immigrants bring new ideas, companies invest more, structural change, ...
 - ▶ From research: David Card (1990) 'Mariel boatlift'

From Micro to Macro: Linking Markets — Examples

► Example 2: Real estate boom and crash in Europe:



► What connects these three charts?

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Summary

(Macro-)Economic Markets

- ▶ Several markets are of central importance at the macroeconomic level.
 - ▶ Goods market
 - ▶ Financial market (including money and capital market)
 - ▶ Labor market
- ▶ We are interested in the general equilibrium on all markets, as well as the interdependence of markets.
- ▶ Using suitable models, we want to analyze macroeconomic developments and possible political interventions.

Importance of Macroeconomics for Managers

- ▶ How does a macroeconomic understanding benefit management?
- ▶ For example: In which countries should a company produce, in which markets will demand increase?
- ▶ The success of a company depends centrally on *external* factors. Economic developments and economic policy decisions must be correctly interpreted by managers.
- ▶ Successful management requires an understanding of the business environment, including relevant economic developments.

Central economic variables

- ▶ Central economic variables:
 - ▶ The total production and its growth rate → GDP
 - ▶ The unemployment rate
 - ▶ The rate of inflation
- ▶ A key learning objective of this course is an understanding of these variables: Definition, determinants, measurement — for the analysis and interpretation of economic information.

The Gross Domestic Product (GDP)

- ▶ Since the mid-20th century, GDP has been the most commonly used measure of economic performance.
- ▶ The *nominal* GDP measures the value of all final goods and services, expressed in current prices, produced in a country during a given period.
 - ▶ Geographic focus, flow size, value added (no double counting)
- ▶ The *real* GDP uses constant prices for calculation, i.e., it corrects for inflation.
- ▶ If the (seasonally adjusted) real GDP falls for two consecutive quarters, economists speak of a recession.

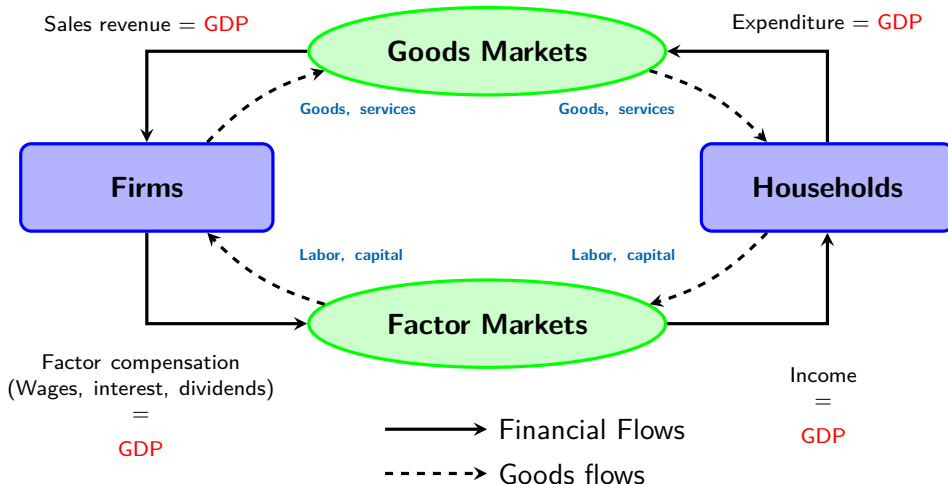
Nominal vs Real

- ▶ Separation of real and nominal quantities:
- ▶ *Nominal values* are expressed in monetary units
→ nominal wages, nominal interest rates
- ▶ *Real values* are measured in physical goods
→ actual measure of wealth (purchasing power)
→ relative prices, real wages, real interest rates
- ▶ Increase of the nominal GDP: production ↑ and/or prices ↑

Economic cycle as a framework for macroeconomics

- ▶ The simple economic cycle: Households as *suppliers* of production factors and *buyers* of goods.
- ▶ Households: They own factors of production that are traded on the financial market and labor market.

Economic cycle as a framework for macroeconomics



The Three Types of GDP Measurement

- ▶ *Production approach*: GDP equals the value of the final goods and services produced in the economy during a given period.
- ▶ *Income approach*: GDP is the sum of all payments to factors of production (labor, capital, land) in a given period.
- ▶ *Expenditure approach*: GDP is the sum of all spending on final goods produced within a country for private or public consumption, investment, or net exports.
- ▶ Example:
 - ▶ aluminum factory: sales revenue = 100, wages = 80, profit = 20
 - ▶ car manufacturer: sales revenue = 210, intermediate consumption (aluminum) = 100, wages = 70, profit = 40

Total Demand and Total Supply

- ▶ Total supply
 - ▶ domestic production (Y)
 - ▶ imports (M)
- ▶ Total demand (Z)
 - ▶ household consumption (C)
 - ▶ private sector investment (I)
 - ▶ government expenditure including government investment (G)
 - ▶ exports (X)
- ▶ $Y + M = Z = C + I + G + X \longrightarrow Y = C + I + G + (X - M)$

The GDP of Switzerland

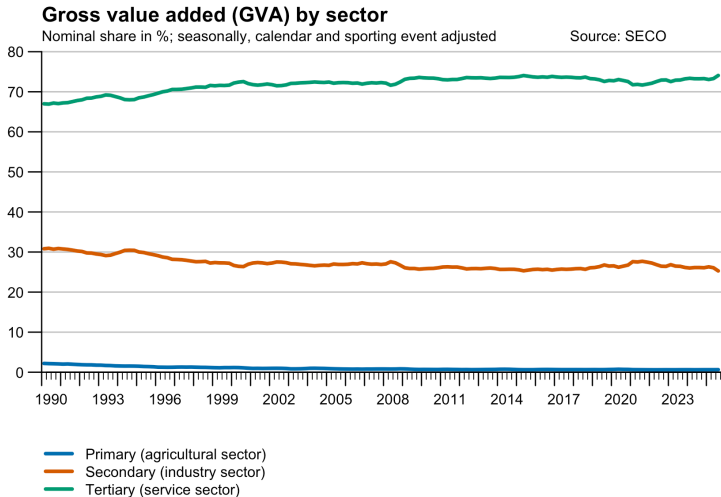
- ▶ For the economy in the *short* run, demand is decisive, which is why we examine $Y = C + I + G + (X - M)$ in detail ($\rightarrow$ Lecture 2).
- ▶ How large were Y, C, I, G, X, M in the year 2024 in Switzerland?

Private consumption	C	421 bn CHF
Private investment	I	228 bn CHF
Government consumption	G	102 bn CHF
Exports	X	608 bn CHF
Imports	M	505 bn CHF
GDP	Y	854 bn CHF

Data at current prices, trade incl. gold

Source: Federal Statistical Office

Value Added by Economic Sector



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GDP as a Welfare Measure

- ▶ GDP measures the overall economic performance.
- ▶ Is it also a useful measure of the well-being of people in an economy, that is, of welfare?
- ▶ The measurement of total production by GDP is flawed or incomplete for a number of reasons:
 - ▶ Unpaid, non-market-based work
(housework, bringing up children within the family)
 - ▶ Black market (illegal activities partly included)
 - ▶ Quality improvements often hard to capture
 - ▶ New forms of economic activity are often captured with a delay.

GDP as a Welfare Measure (continued)

- ▶ On the other hand, GDP has several advantages:
 - ▶ Comparability over time and between countries
 - ▶ Cannot be corrupted by politics (corrective e.g. by international institutions)
 - ▶ Relatively easy to measure, clear international standards
- ▶ Myth of the broken window
 - ▶ With fully utilized capacities: does not increase GDP
 - ▶ With underutilized capacities: GDP increases but not net national income

GDP as a Welfare Measure (continued)

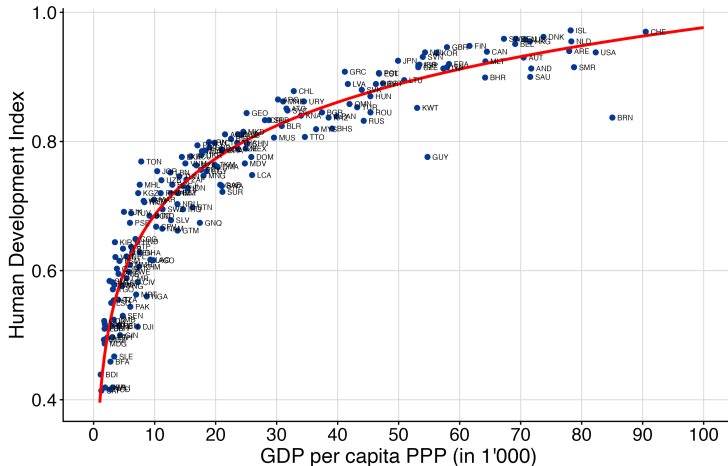
- ▶ Is the maximization of GDP per capita the goal at all?
Germany has a higher per capita income than France,
but GDP per hour worked is almost identical.
- ▶ Real GDP is theoretically grounded as a welfare measure.
- ▶ Two empirical questions arise: Does GDP measure output correctly?
Can production serve as a measure of welfare?
 - ▶ Free access to unprecedented amount of information due to new technologies
is not captured (Hulten & Nakamura, NBER 2021)
 - ▶ High correlation between GDP per capita and complementary indicators:
median income, Human Development Index (HDI)

- GDP per capita and life expectancy:



GDP as a Welfare Measure (continued)

► GDP per capita and Human Development Index:



Sources: World Bank (NY.GDP.PCAP.PP.CD), United Nations; data for 2023

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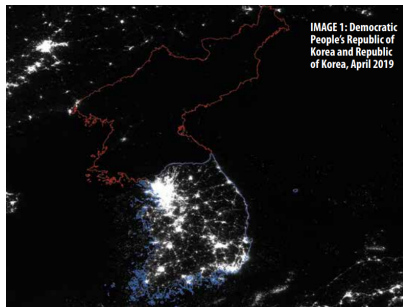
Gross Domestic Product

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Summary

Excursion: GDP Measurement from Space

- ▶ No GDP data are available for many (poorer) countries.
At regional level, too, reliable and comparable data often hardly exist.
- ▶ New approach since 2012: *satellite data on nighttime light intensity*



Source: Jiaxiong Yao, Illuminating Economic Growth, IMF F&D, September 2019

Summary and Outlook

- ▶ GDP summarizes the economic activities within a country and year.
- ▶ This raises several questions:
 - ▶ How can short-term variations in GDP — the so-called business cycles — be explained and analyzed?
 - ▶ How can we understand long-term trends in GDP?
 - ▶ What is the role of politics in all this?
- ▶ In the upcoming lectures these questions will be examined.
- ▶ Read chapters 1 and 2 of the textbook now — and at the end of the semester in order to see the progress of learning and understanding.
- ▶ Preparation for lecture 2:
slides as well as chapter 3, 5.1, 14.1 & 14.2 in the textbook